



Financial Assistance Schemes

Presentation by Mission SAMARTH

Venue:

Date:





MNRE – National Bioenergy Programme



The objective of the Biomass Programme is to support setting up of Biomass Briquette/Pellet manufacturing plants and to support Biomass (non-bagasse) based cogeneration projects in Industries in the country.

The programme provides Central Financial Assistance (CFA) to project developers and service charges to implementing agency and inspection agencies in respect of setting up of Briquette / Pellet manufacturing plants and Biomass (non- bagasse) cogeneration projects in industries.

- Financial assistance available under the programme is as follows:
 - Briquette/ Pellet Manufacturing plants: Rs. 9 Lakh per MTPH (metric ton/hour) manufacturing capacity (maximum CFA of Rs 45 Lakhs per plant)
 - Biomass (Non-bagasse) cogeneration projects: Rs. 40 Lakhs/MW (on Installed Capacity) (maximum CFA of Rs. 5 Crores per project)
- Under this programme, self-funded projects will also be eligible for Central Financial Assistance.
- SCADA System/remote monitoring system has been mandated for Biomass projects.
- Plants installed with new equipment/machinery only shall be eligible for CFA under this programme.

Apply on <https://biourja.mnre.gov.in>



MSME – Cluster Development Program (MSE-CDP)



MSE-CDP scheme aims at addressing the needs of the enterprises, in identified clusters and geographical areas. This will enable achieving the economies of scale in terms of deployment of resources. GoI grant is provided for creation of tangible assets as Common Facility Centers (CFCs) like Common Production/ Processing Centre (for balancing/correcting/improving production line that cannot be undertaken by individual units).

- The GoI grant will be restricted to 70% of the cost of **Project** (Max Proj Cost Rs.20.00 Cr). GoI grant will be 90% for CFCs in NE & Hill States, Island territories, Aspirational Districts/LWE affected Districts, Clusters with >50% (a) micro/ village or (b) women owned or (c) SC/ST units. The cost of Project includes the cost of Land. The Project should be completed and operational within two years from the date of approval
- Formation of Special Purpose Vehicles (SPVs) to set up **Common Facility Centres** (CFCs) is integral part of the scheme. The aim of running the CFC shall be to provide common services to the enterprises in the Cluster at affordable cost as well as to generate enough income to meet all its expenditure and other costs.
- Infrastructure Development: Development of land, roads, drainage, power distribution etc. in new / existing industrial MSME SCHEMES 17 (multi-product) areas / estates / Flatted Factory Complex. GoI Assistance: up to 80% of the maximum Project cost of Rs. 15 crores

Apply on <https://cluster.dcmsme.gov.in/>



MSME – Prime Minister's Employment Generation Program (PMEGP)

Any individual above 18 yrs of age or self help groups/ societies willing to set up a project above Rs. 10 lacs in manufacturing sector and Rs 5 lac in business/service sector are eligible for the scheme.

- Maximum project cost under the scheme is Rs.25.00 lakhs for manufacturing unit and Rs.10.00 lakhs for Service Unit. The cost of project excludes land cost.
- Level of Subsidy and beneficiary's contribution depends on category and location
- The scheme is implemented by Khadi and Village Industries Commission (KVIC), State Khadi and Village Industries Boards (KVIBs), District Industries Centres (DICs) and banks.

Categories of beneficiaries under PMEGP	Beneficiary's contribution (of project cost)	Rate of Subsidy (of project cost)	
		Urban	Rural
Area (location of project/unit)			
General Category	10%	15%	25%
Special (including SC / ST / OBC / Minorities/Women, Ex-servicemen, Physically handicapped, NER, Hill and Border areas etc.)	05%	25%	35%

Apply on <https://www.kviconline.gov.in/pmegportal/pmegphome/>



2nd Loan for up-gradation of the existing PMEGP/MUDRA units



With an objective to assist exiting units for expansion and upgradation, the scheme provides financial assistance to successful/ well performing units. The scheme also caters to the need of the entrepreneurs for bringing new technology/ automation so as to modernize the existing unit..

- Maximum subsidy would be 15% of the project cost (20% for NER and Hill States). The balance amount of the total project cost is provided by Banks as term loan.
- The maximum cost of the project under manufacturing sector for up-gradation is Rs.1.00 crore and Rs.25.00 lakh under Service/ Trading sector.
- All existing units financed under PMEGP/MUDRA Scheme whose margin money claim has been adjusted and the first loan availed has been repaid in stipulated time are eligible to avail the benefits
- The units should have been making profit for the last three years.
- Beneficiary can apply to the same financing bank, which sanctioned the loan for their unit, or to any other financing bank, which is willing to extend credit facility for second loan.
- The beneficiary can choose any implementing agency and that may be different from the agency chosen for 1st loan.
- Registration of Udyog Aadhar Memorandum (UAM) is mandatory.
- The 2nd loan should lead to additional employment generation.

Apply on <https://www.kviconline.gov.in/pmegportal/pmegphome/>



MSME – Credit Guarantee Scheme for Micro & Small Enterprises

To encourage first generation entrepreneurs to venture into self-employment opportunities by facilitating credit guarantee support for collateral free / third-party guarantee-free loans to the Micro and Small enterprises (MSEs), especially in the absence of collateral.



Apply through Member Lending Institutions (Banks and NBFCs)

- Credit guarantee for loans up to Rs. 2 crores, without collateral and third-party guarantee. Guarantee coverage ranges from 85% (Micro Enterprise up to Rs 5 lakh) to 75% (others).
- Launch of UDAAN Portal – Online application for availing Provisional Guarantee Certificate for collateral free loan

Category	Maximum extent of Guarantee where credit facility is		
	Upto ₹ 5 lakh	Above ₹ 5 lakh & upto ₹ 50 lakh	Above ₹ 50 lakh & upto ₹ 200 lakh
Micro Enterprises	85%of the amount in default subject to a maximum of ₹ 4.25 lakh	75% of the amount in default subject to a maximum of ₹ 37.50 lakh	75% of the amount in default subject to a maximum of ₹ 150 lakh
Women entrepreneurs/ Units located in North East Region (incl. Sikkim) (other than credit facility upto ₹ 5 lakh to micro enterprises)	80% of the amount in default subject to a maximum of ₹ 40 lakh		
MSE Retail Trade (upto ₹100 lakh)	50% of the amount in default subject to a maximum of ₹ 50 lakh.		
All other eligible category of borrowers	75% of the amount in default subject to a maximum of ₹ 150 lakh.		



Lean Manufacturing Competitiveness for MSMEs

To enhance the manufacturing competitiveness of MSMEs through the application of various Lean Manufacturing (LM) techniques by – Reducing waste; Increasing productivity; Introducing innovative practices for improving overall competitiveness; Inculcating good management systems; and Imbibing a culture of continuous improvement.

- Financial assistance is provided for implementation of lean manufacturing techniques, primarily the cost of lean manufacturing consultant (80% by GoI and 20% by beneficiaries).
- The objectives of the Scheme are to enhance the manufacturing competitiveness of MSMEs through the application of various Lean Manufacturing (LM) techniques.
- The scheme will be implemented in mini clusters spread all over the country for all manufacturing sectors. The Scheme will be implemented by National Monitoring and Implementing Units (NMIUs), under the overall directions of DC (MSME).
- Scheme applicable for existing Entrepreneurs



Check on <http://www.dcmsme.gov.in/schemes/clcs-tus/LEAN-Operational-Guidelines.pdf>

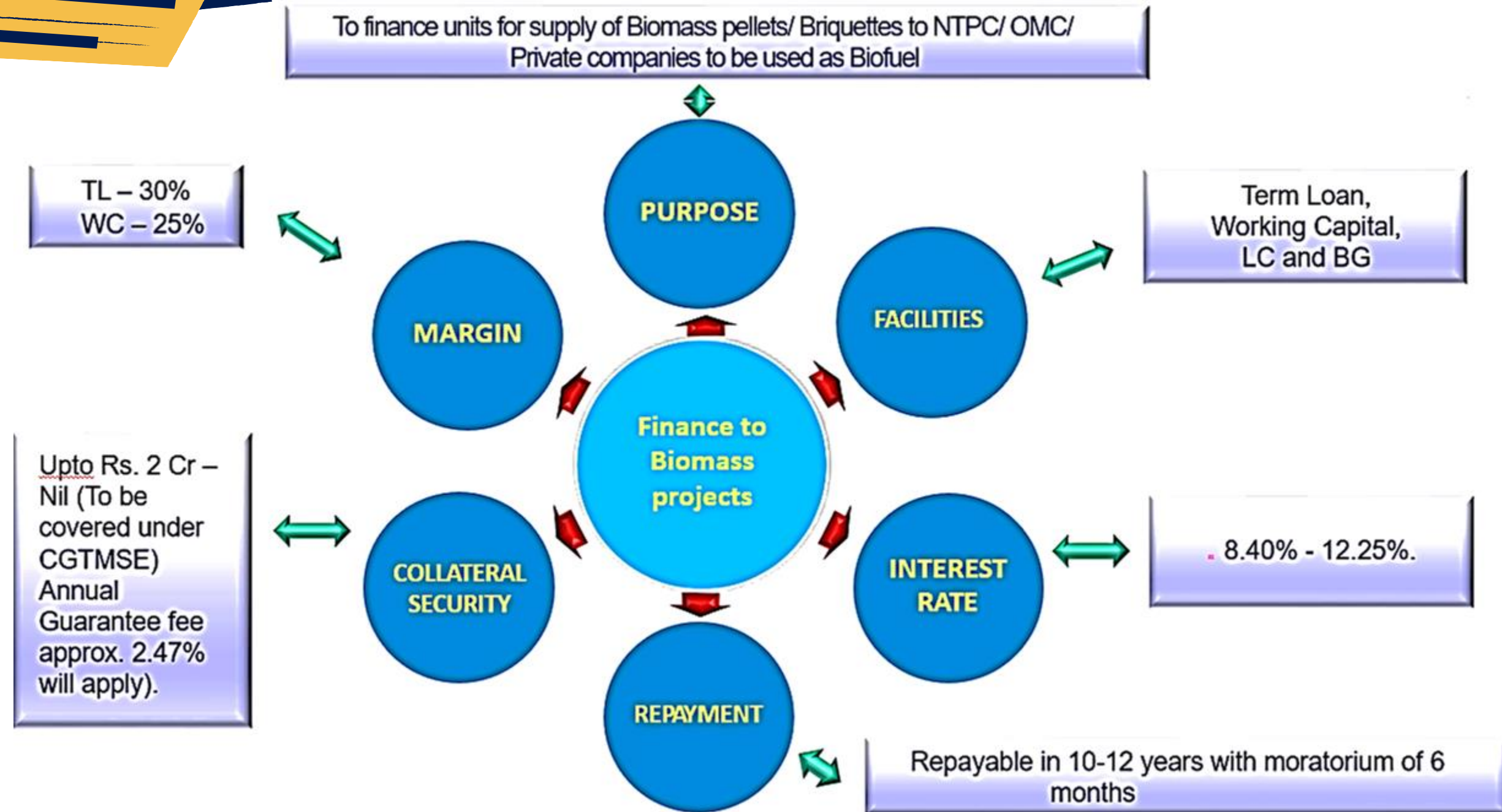


SBI's new scheme for financing biofuel projects

SBI has now come up with revised scheme for financing Biofuel projects in which it has also included units engaged in manufacturing of Biomass pellets to be used as Biofuel.



- The eligible unit may be a Biomass supplier/ Aggregator engaged in supply of Biomass for sale to the NTPC, Oil Marketing Companies (OMC), Govt. Organisations and Private Companies for Power generation, Heat generation and to be used in other industrial applications.





MSME SAMADHAAN: To Address Delayed Payment to MSEs

The Micro, Small and Medium Enterprises Development (MSMED) Act, 2006 deal with the issues relating to the Delayed Payments to Micro and Small Enterprises (MSEs) by the buyers to the MSE supplier. In the case of delay in payment beyond 45 days, MSEs suppliers may approach the Micro and Small Enterprises Facilitation Council (MSEFC) constituted under the Act in all States/UTs. Under Section 16 of the MSMED Act, delayed payment to supplier units, attracts compound interest with monthly interests at three times of the bank rate notified by the Reserve Bank.



Apply through
<https://samadhaan.msme.gov.in/>

- The portal ([http:// samadhaan.msme.gov.in/](http://samadhaan.msme.gov.in/)) portal facilitates MSEs to file their delayed payments related complaints online. After 15 days of online filing of the case, it is automatically registered with the MSEFC concerned.
- From the date of launch of MSME SAMADHAAN portal, i.e. 30th October 2017, MSEs have filed 18509 applications related to delayed payments. These cases involve an amount of Rs. 4797.81 Crore.
- This portal has also helped in getting the delayed payments settled mutually between seller and buyer. 1407 cases of mutual settlements have been done amounting to Rs. 00.53 crore. Applications are getting converted to cases by MSE-Facilitation Councils in States/UTs. 4682 applications have been converted to cases by 11.6.2019.
- The Portal has empowered the MSEs to file their delayed payments cases directly. This is being monitored by respective Ministries/ CPSEs and State Governments.



Ministry of Agriculture – Sub-Mission on Agricultural Mechanization



The scheme is being hosted by Department of Agriculture, Cooperation & Farmers Welfare to promote farm mechanization and increase the ratio of farm power to cultivable unit area up to 2.5 kW/ha.

- Financial Assistance is provided for Procurement of Agriculture Machinery/Equipment and for establishing Farm Machinery Banks for Custom Hiring. Centre and State contribution in financial assistance is 60:40.
- 40-50% Subsidy on buying farm equipment is available. The State Agricultural Dept. is entrusted with the responsibility of implementing the scheme on Procurement of Agriculture Machinery. Office of DD (Agri) is the district nodal agency.
- For CHCs, financial assistance is available to rural entrepreneurs/ FPOs/ Panchayat to set up CHCs, having the project cost < Rs. 25 lakh, with varying levels of subsidy for identified machinery. For unlisted machines, assistance of 40% of the machine cost is available. While setting up the CHCs, preference is given to low power input districts.
- E.g. for Baler (Rectangular 18-20 kg per bale) maximum subsidy of Rs. 6.0 lacs upto 50% of machine cost is available under this scheme.
- Only tested equipment can be purchased and the list of testing agencies have been identified in each state.
- The mission is implemented via a Steering Committee, an Executive Committee and State Agriculture Departments via Annual Action Plans.



Some Contact Details of MSME offices

Uttar Pradesh	MSME-DI	Agra	34, Industrial Estate, Nunhai, Agra-282 006	0562-2280879/ 2280882	0562-2523247	dcdi-agra@dcmsme.gov.in
	MSME-DI	Allahabad	E-17/18, Udyog Nagar, Naini, Allahabad-211 009	0532-2697468	0532-2696809	dcdi-allbad@dcmsme.gov.in
	MSME-DI	Kanpur	107, Industrial Estate, Kalpi Road, Kanpur-208 012.	0512-2295070 2295071, 2295073.	0512-2240143	dcdi-kanpur@dcmsme.gov.in
	Br. MSME-DI	Varanasi	Chandpur Industrial Estate, Varanasi-221106.	0542-2370621	0542-2371320	brdcdi-vara@dcmsme.gov.in
Punjab	MSME-DI	Ludhiana	Near Pratap Chock, Opp-Sangeet Cinema, Industrial Area- B, Ludhiana - 141003	0161-2531733, 734	0161-2533225	dcdi-ludhi-ana@dcmsme.gov.in
Haryana	MSME-DI	Karnal	11-A, Industrial Development Colony, Near ITI, Kunjpura Road, Karnal-132 001.	0184-2208100/ 2208113	0184-2208114	dcdi-karnal@dcmsme.gov.in
	Br. MSME-DI	Bhiwani	Iti Campus, Hansi Road, Bhiwani-125021.	01664-243200	01664-243200	brdcdi-bhiw@dcmsme.gov.in
Delhi (NCT)	MSME-Ext. Centre	New Delhi	Bal Sahayog Kendra, Connaught Place, New Delhi.			dcdi-ndelhi@dcmsme.gov.in



Thank You

